THE MASTERMIND COACHING CLASSES

CBSE / RBSE • NURSERY – CLASS XII • JAIPUR

Road No. 5, VKIA, Jaipur — 9887258679

CLASS 10 — SOCIAL SCIENCE · HARD LEVEL CHAPTER TEST SET 2

Chapter 19: **Money and Credit (Economics)** | RBSE Pattern | Session 2026–27

Time: 1 Hour 30 Minutes Name: _____ Roll No.: _____ **Maximum Marks: 40**

General Instructions:

1. All questions are compulsory.
2. Q. 1–10 are Objective Type (1 mark each).
3. Q. 11–14 are Very Short Answer Type (2 marks each).
4. Q. 15–18 are Short Answer Type (3 marks each).
5. Q. 19–20 are Long Answer Type (5 marks each).
6. Internal choice is given in Q. 17 to 20.
7. Write the question number before each answer.
8. Hard level: application and higher-order questions.

SECTION — A (Objective Type Questions) 10 × 1 = 10

Choose the correct option and write it in your answer book.

1. A person with a loan of Rs 50,000 at 12 per cent annual interest repays after one year. The interest is: 1

(a) Rs 5,000 **(b)** Rs 600 **(c)** Rs 12,000 **(d)** Rs 6,000

2. Assertion (A): Cheap and affordable credit is important for development. Reason (R): It enables people to undertake productive activities. 1

(a) Both A and R are true and R is the correct explanation of A.

(b) Both A and R are true but R is not the correct explanation of A.

(c) A is true but R is false.

(d) A is false but R is true.

3. A farmer cannot repay a loan after two crop failures and sells his land. This shows: 1

(a) a demand deposit **(b)** a cheque payment

(c) a debt trap **(d)** a barter exchange

4. Match: 1 Collateral; 2 Demand deposit; 3 Informal credit; 4 SHG with A moneylender; B group savings; C asset pledged; D withdrawn on demand. Correct: 1

(a) 1-C, 2-D, 3-A, 4-B **(b)** 1-B, 2-A, 3-D, 4-C

(c) 1-A, 2-B, 3-C, 4-D **(d)** 1-D, 2-C, 3-B, 4-A

5. A borrower is offered two loans: one at 7 per cent interest from a bank and one at 24 per cent from a moneylender. Other terms are the same. Which is cheaper? 1

(a) cannot say **(b)** the bank loan

(c) both cost the same **(d)** the moneylender loan

6. Consider: (i) Higher collateral requirements make it harder for the poor to get bank credit; (ii) Self-Help Groups lend without collateral; (iii) A debt trap can result from high interest. Which are correct? 1

(a) (ii) and (iii) only **(b)** (i) only

(c) (i) and (ii) only **(d)** all three

7. What would happen if the rupee were not legal tender? 1

(a) barter would end **(b)** people could refuse it in payment

(c) RBI would stop **(d)** banks would lend more

8. Which of the following is NOT likely to be an advantage of a Self-Help Group? 1

(a) small loans **(b)** reasonable interest

(c) no collateral **(d)** very high interest rates

9. **Assertion (A):** Demand deposits are considered as money. 1
Reason (R): Demand deposits can be withdrawn on demand and payments can be made through cheques against them.
Choose the correct option:
(a) Both A and R are true and R is the correct explanation of A.
(b) Both A and R are true but R is not the correct explanation of A.
(c) A is true but R is false.
(d) A is false but R is true.

10. **Assertion (A):** Banks keep all the deposits they receive as cash with themselves. 1
Reason (R): Banks use the major portion of the deposits to extend loans, keeping only a small proportion as cash.
Choose the correct option:
(a) Both A and R are true and R is the correct explanation of A.
(b) Both A and R are true but R is not the correct explanation of A.
(c) A is true but R is false.
(d) A is false but R is true.

SECTION — B (Very Short Answer Type) 4 × 2 = 8

Answer in about 20–30 words each.

11. Why do poor households avoid banks? 2

12. How does credit reach rural areas? 2

13. Why is affordable credit essential for small industries? 2

14. Why is the legal tender status important? 2

SECTION — C (Short Answer Type) 4 × 3 = 12

Answer in about 40–60 words each.

15. Differentiate between credit and money. 3

16. What are the risks of borrowing for a small business? 3

17. Explain how deposits and loans are linked. 3

OR

Examine how a debt trap harms a borrower. 3

18. How does lack of formal credit affect the poor? 3

OR

A farmer borrows Rs 40,000 at 15 per cent per annum from a moneylender and Rs 40,000 at 7 per cent from a bank. Compare interest paid for one year. 3

SECTION — D (Long Answer Type) 2 × 5 = 10

Answer in about 100–150 words each.

19. **Case study.** Megha has taken a loan of Rs 5 lakh from a bank to buy a house. The annual interest rate is 12 per cent and she will repay it in 10 years in monthly instalments. The bank asked for documents showing her salary and kept the papers of the house with it until the loan is repaid. 5
(i) What is the collateral in this case?
(ii) Name any two components of the terms of credit shown here.
(iii) What is the annual interest on the loan for the first year, if no repayment is made?
(iv) What would the bank do if Megha failed to repay?

20. Explain, with the help of examples, how credit may help or harm. 5

OR

Write an essay on the significance of savings and credit for the poor. 5

END OF QUESTION PAPER Total: 40 Marks